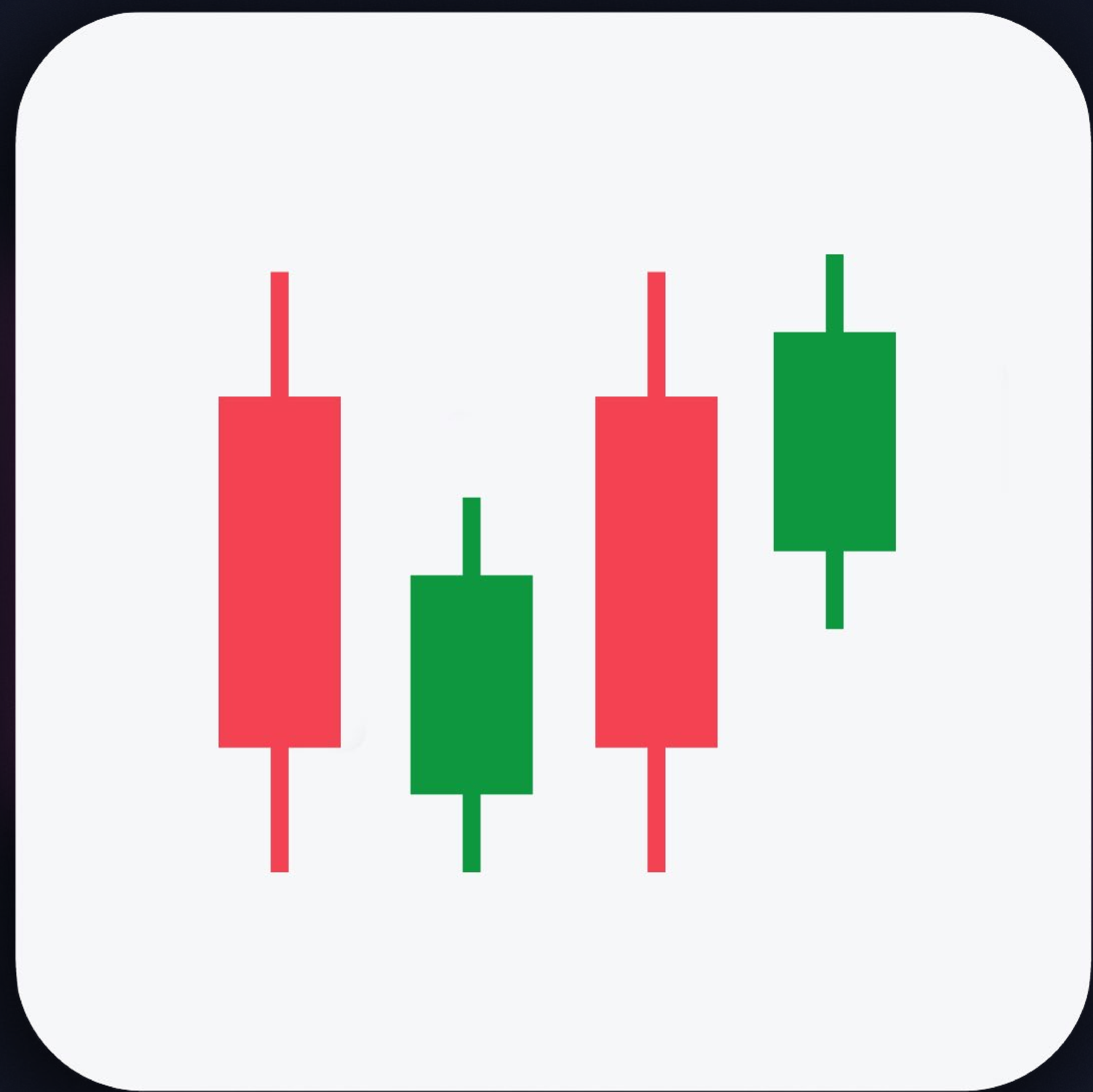
Candlesticks

Cheat Sheet



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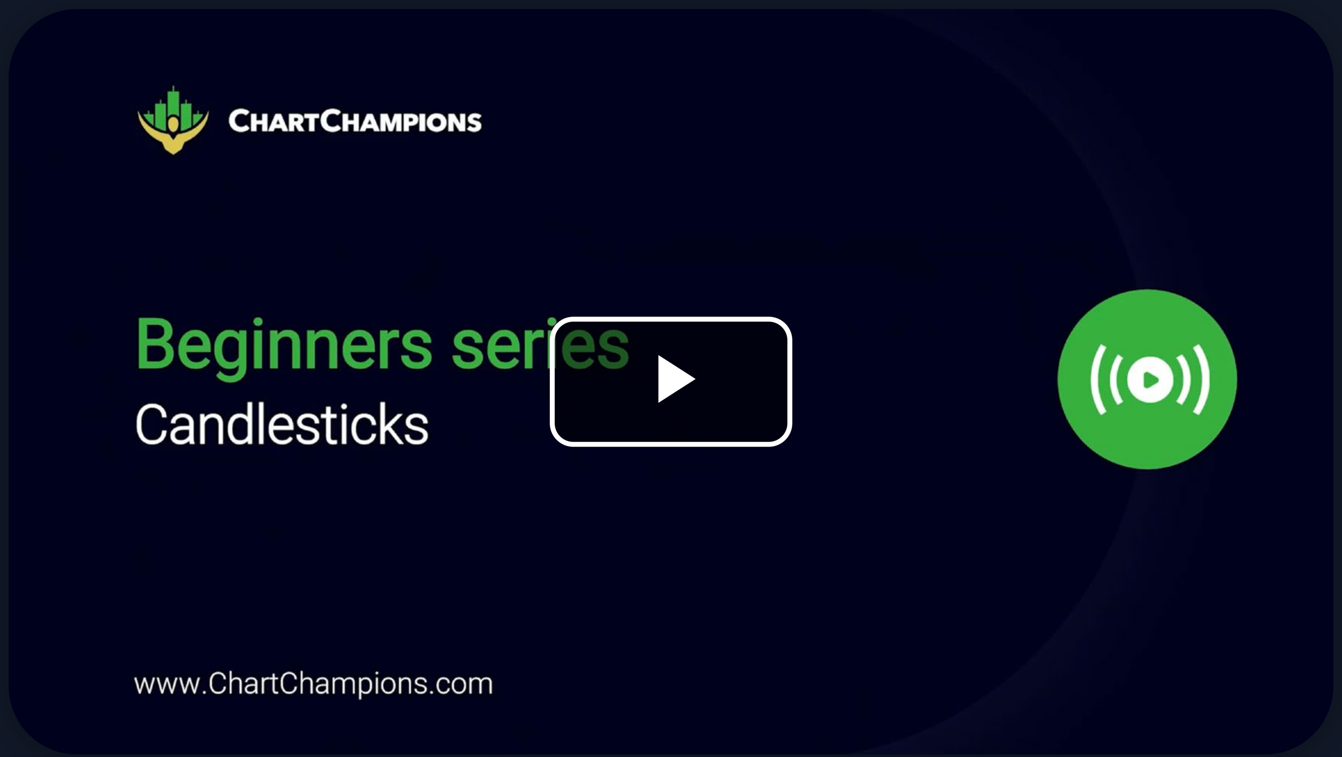
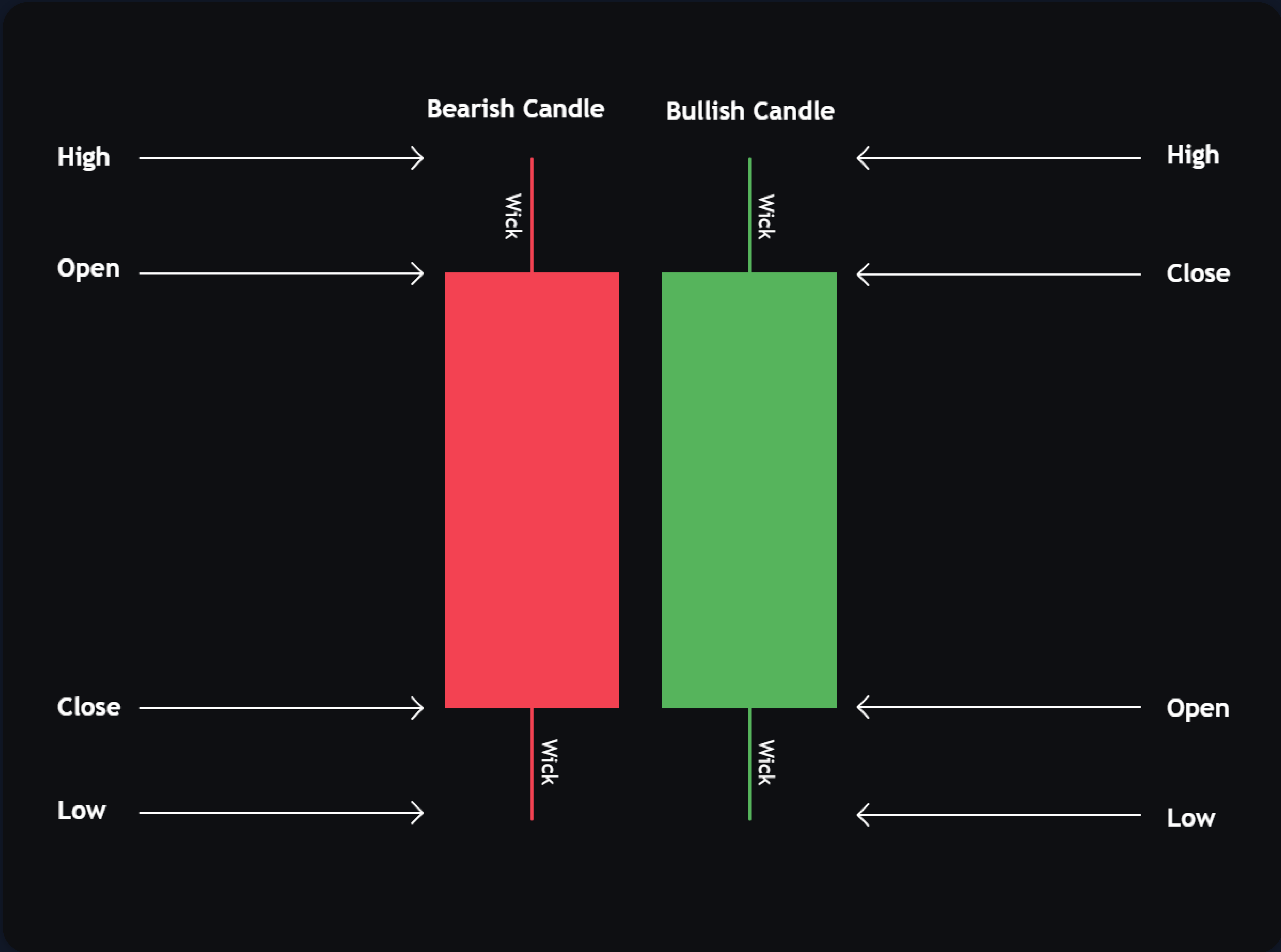
Candlesticks

A Japanese candlestick is a visual representation of price movement during a specific time, providing valuable information about the participant's behaviour in the market. They are widely used for technical analysis.

With Candlesticks, we can see the: Open, High, Low and Close of that candle. The wicks show us information regarding the strengths and weaknesses during that period.



Accumulation and Distribution Part I lesson (6:40)



Changing the timeframe will change the amount of Candlestick shown in the chart. When in Daily TF, we will see daily candlesticks. When in 5-minute TF, we will see 5-minute TF candlesticks.

For marking out trendlines, we use the wick of the candle.

We use the close of the candle to mark horizontal resistance/support lines, such as Daily, Weekly and Monthly levels.

Candlesticks are best and easy to view the market structure.

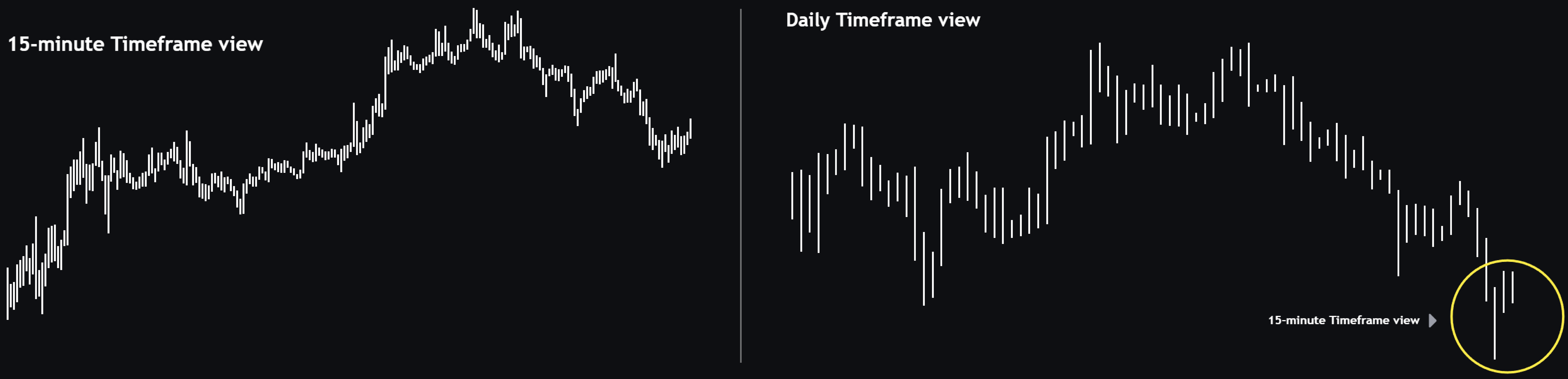
This example shows a downtrend and two horizontal resistances marked out using the candle close. Once the daily resistance level is tapped, we expect a rejection.

Candlesticks

Candlesticks are used for the Swing Failure Pattern (SFP) and Failed Auction (FA) setups.

Using candlesticks in conjunction with OrderFlow software we can recognise strengths and weaknesses in the market using parameters like Delta, Volume or CVD Divergences.

Switching time frames will help us to understand the market context.



This example shows a 15-minute TF versus a Daily TF. In the 15m TF, we can see an uptrend while in the Daily chart, the price is marking lower highs and lower lows.
Understanding the context: Although we can see an uptrend in lower time frames, it's important to always check the trend in higher time frames, as it can be the opposite.